



22 |

“In every respect, India stands at the threshold of a rapid growth story... we are preparing ourselves to engage with the best”

tariffs, there will be a corresponding change in our opening up.

Q: How are you planning to ensure the \$500 billion worth of purchases from the US over five years? Would we be penalised if we don't meet that?

A: We've analysed this very carefully. The products that we have found the US to be most competitive in are those that are growing very rapidly. For example, ICT or electronic products, where imports were as high as 20% of the total in some years. Our estimates suggest we will need to import about \$2 trillion of energy products such as crude oil, LPG, LNG, precious metals, in the next five years.

Now, in that \$2 trillion trade pie, I see no reason

why Indian importers won't find an advantage if they import more from the US. In aircraft alone we will require imports of \$80-90 billion in the next five years. In such a situation, my approach is very simple. For this set of products, which I have to buy in any case, the more the merrier.

I would like to have more competition amongst suppliers, so that India gets the best deal. And that is good for Indian consumers and the economy, and will spur economic growth in India.

Q: What have you done for labour-intensive industries in the US deal? How will they benefit?

A: The benefit for our textile, home decor, apparel, upholstery, sports shoes, leather shoes, fishermen, handicrafts, handlooms, or toys industries is phenomenal with the 18% reciprocal tariff. And, in many cases, we've even been able to get zero tariff on our exports. The competitive edge we have is huge. We are the lowest amongst our competing nations. China is at 35%. So, I think we are in a sweet spot. It's now up to our exporters to really make the best of this great opportunity.

Q: On pharmaceuticals, the US didn't impose tariffs because it needed them. Will that continue?

A: Yes, we have institutionalised that in the joint statement. It mentions that our pharmaceuticals will continue to be exempt and enjoy zero duty.

Q: Would you describe all these trade deals as a big economic reform?

A: I would say that particularly in the last six months, Prime Minister Modi has powered on a reform express, which is going at breakneck speed. And the FTAs and our international engagements are an integral part of his reforms. Viksit Bharat is now the collective commitment of 1.4 billion Indians who are all contributing to make India a developed nation. **BT**

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